MANAGEMENT PROCESS AND ORGANIZATIONAL BEHAVIOR

UNIT I | PRINCIPLES OF MANAGEMENT

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Syllabus Map

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1. INTRODUCTION TO MANAGEMENT

Management is the art and science of getting things done through people, by using limited resources efficiently and effectively to achieve organizational goals.

Key Points

- Every organization (business, school, hospital, government, NGO) needs management to **coordinate human and material resources**.
- Resources managed are called the **5 M's**: **M**en, **M**aterial, **M**achines, **M**oney and **M**ethods.
- Management converts **inputs** (resources) into **outputs** (goods or services) through a systematic process.
- Two key ideas: **Efficiency** (doing things right, i.e. least wastage of resources) and **Effectiveness** (doing the right things, i.e. achieving goals).
- Management is needed at **all levels** and in **all kinds of organizations**.

Efficiency	Effectiveness
Doing things **right**	Doing the **right** things
Concerned with **means** (how)	Concerned with **ends** (what)
Input-output ratio: more output from less input	Goal attainment: achieving objectives
Cost saving and resource use	Results and success

EXAM TIP

- Always write that a good manager must be **both efficient and effective**. High efficiency with low effectiveness means wrong goals; effectiveness without efficiency means wasted resources.

2. DEFINITIONS OF MANAGEMENT

Author	Definition (in short)
F. W. Taylor	Knowing exactly what you want people to do, and then seeing that they do it in the best and cheapest way.
Henri Fayol	To manage is to forecast and plan, to organize, to command, to coordinate and to control.
Mary Parker Follett	Management is the art of getting things done through people.
Harold Koontz	Management is the art of getting things done through and with people in formally organized groups.
Stoner	Process of planning, organizing, leading and controlling the efforts of organization members and using all organizational resources to achieve stated goals.

Conclusion (how to write in exams)

- Management is a **continuous, goal-oriented process** of planning, organizing, staffing, directing and controlling to achieve objectives **efficiently and effectively**.

3. NATURE OF MANAGEMENT (CHARACTERISTICS)

- **Goal-oriented:** exists to achieve predetermined organizational objectives.
- **Universal:** needed in every organization, big or small, profit or non-profit.
- **Multi-dimensional:** involves management of work, people and operations.
- **Continuous process:** planning, organizing, staffing, directing and controlling go on continuously.
- **Group activity:** needs teamwork; one person alone cannot manage.
- **Dynamic function:** must adapt to changes in environment (technology, competition, laws).
- **Intangible force:** cannot be seen, but its results (discipline, growth, profit) can be felt.
- **Authority and responsibility:** managers have authority to command and are accountable for results.
- **Decision making:** every managerial action involves choosing among alternatives.
- **Social process:** deals with people and their interaction in the society.

Is Management a Science, an Art or a Profession?

Basis	Science	Art	Profession
Meaning	Systematic body of knowledge based on cause and effect	Personal skill to apply knowledge creatively	Occupation needing special knowledge, training and ethics
Management	Has principles, but not exact (human behaviour varies)	Needs practice, creativity, personal style	Lacks a compulsory degree or licence, but is moving towards it
Verdict	**Partly**	**Yes**	**Developing**

REMEMBER

- Management is **both a science and an art**, and is an **emerging profession**. Science gives the knowledge, art gives the application.

4. PURPOSE OF MANAGEMENT (OBJECTIVES AND IMPORTANCE)

Type of objective	Purpose
Organizational	Survival of the organization Earning profit Growth and expansion
Social	Quality goods and services at fair price Employment generation Use of resources without harming society and environment
Personal	Fair pay and good working conditions Career growth and job satisfaction Motivation and recognition of employees

Importance of Management

- Achieves group goals through **coordinated effort**.
- Increases **efficiency** and reduces cost.
- Creates a **dynamic organization** that can face change.
- Helps in achieving **personal objectives** of employees.
- Contributes to **development of society** (jobs, better products, economic growth).

5. FUNCTIONS OF MANAGEMENT



Fig. 1: Management Process (Functions of Management)

Function	Meaning	Key activities
1. Planning	Deciding in advance what to do, how, when and by whom. It is the **primary function**.	Setting objectives, forecasting, making policies, procedures, budgets
2. Organizing	Arranging resources and assigning work so plans can be carried out.	Dividing work, grouping jobs, delegating authority, coordination
3. Staffing	Filling and keeping filled the positions in the organization structure.	Recruitment, selection, training, appraisal, compensation
4. Directing / Leading	Guiding, instructing and motivating people to work towards goals.	Supervision, motivation, communication, leadership
5. Controlling	Comparing actual performance with standards and correcting deviations.	Set standards, measure performance, compare, take corrective action

POINTS TO NOTE

- **Coordination** is the essence of management; it ties all functions together.
- Planning and controlling are called **twin functions**: planning sets the standards, controlling checks against them.
- Fayol listed five elements: **Planning, Organizing, Commanding, Coordinating, Controlling** (POCCC).
- Modern books (Koontz) use: **Planning, Organizing, Staffing, Directing, Controlling** (POSDC).

6. LEVELS OF MANAGEMENT

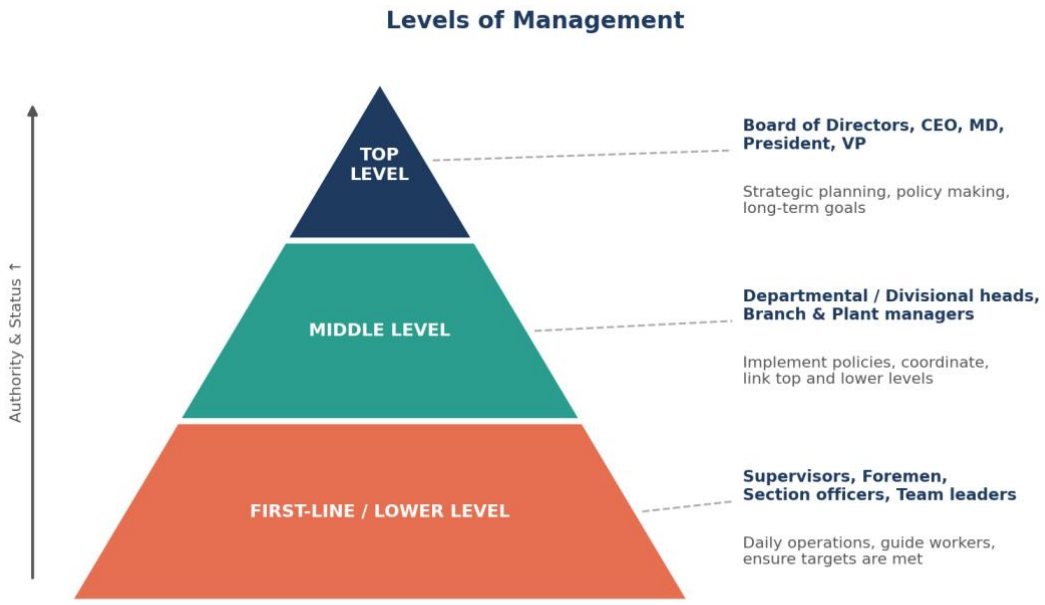


Fig. 2: Levels of Management (Pyramid)

Level	Also called	Main role	Time horizon
Top level	Administrative / strategic	Sets objectives, makes policies and strategy, represents the firm to outsiders	Long term (3-5 years or more)
Middle level	Executive / tactical	Converts top-level plans into departmental plans, coordinates, motivates lower level	Medium term (about 1 year)

Level	Also called	Main role	Time horizon
First-line level	Supervisory / operational	Direct supervision of workers, ensures daily targets, quality and discipline	Short term (daily, weekly)

- **Non-managerial employees** (operatives) are below the first-line level; they do the actual work and do not supervise anyone.
- As we go **up** the pyramid: authority, status, pay and decision-making scope **increase**, while the **number of managers decreases**.

7. TYPES OF MANAGERS

A. On the basis of level

- **Top managers**, **middle managers** and **first-line managers** (explained above).

B. On the basis of area of responsibility

Type	Responsibility	Examples
Functional managers	Manage one specialised department	Marketing, Finance, HR, Production manager
General managers	Responsible for the entire unit or division with all functions	Branch manager, Plant manager, Divisional head
Administrative managers	Make policies, no direct involvement in operations	CEO, Director, Board members
Project managers	Manage a temporary team for a specific project	Software project manager, Construction project manager

C. On the basis of authority relationship

Line managers	Staff managers
Directly responsible for achieving **main objectives** (production, sales)	Give **advice and support** to line managers
Have **command authority** over subordinates	Have **advisory authority** only
Example: Production manager, Sales manager	Example: Legal adviser, HR specialist, Research analyst

8. MANAGERIAL ROLES (MINTZBERG)

Henry Mintzberg (1973) observed what managers actually do and found **10 roles**, grouped into **3 categories**.

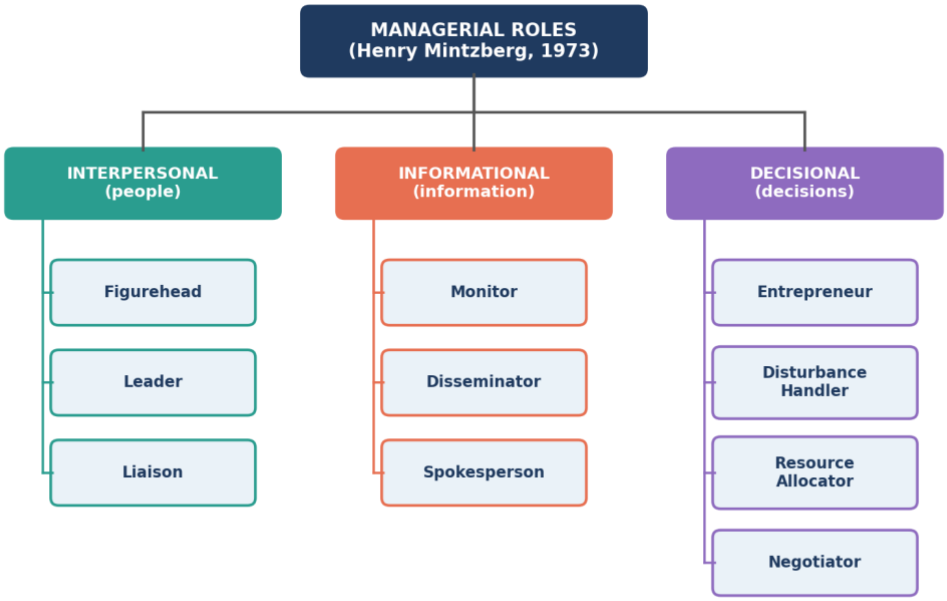


Fig. 3: Mintzberg's Ten Managerial Roles

Category	Role	What the manager does
Interpersonal	Figurehead	Performs ceremonial and symbolic duties (inaugurations, receiving guests, signing documents)
	Leader	Hires, trains, motivates and guides subordinates
	Liaison	Builds contacts and networks with people outside the unit
Informational	Monitor	Collects information from inside and outside the organization
	Disseminator	Passes information to subordinates and colleagues
	Spokesperson	Speaks on behalf of the organization to outsiders (media, public)
Decisional	Entrepreneur	Starts new projects, searches for opportunities and innovates
	Disturbance handler	Handles crises and unexpected problems (strike, supplier failure)
	Resource allocator	Decides who gets money, time, staff and equipment
	Negotiator	Bargains with unions, suppliers and clients

EASY TRICK

- **I**nterpersonal = **people**, **I**nformational = **information**, **D**ecisional = **decisions**. Remember **3 + 3 + 4 = 10** roles.

9. SKILLS FOR MANAGERS (ROBERT KATZ)

Robert L. Katz (1955) said an effective manager needs **three basic skills**.

Skill	Meaning	Example
Technical skill	Ability to use specific knowledge, methods, tools and techniques of a job	Accountant preparing a balance sheet; programmer writing code
Human (interpersonal) skill	Ability to work with, understand, motivate and communicate with people	Resolving conflict in a team, leading a group
Conceptual skill	Ability to see the organization as a whole, think abstractly, and analyse complex situations	Formulating long-term strategy, spotting market trends

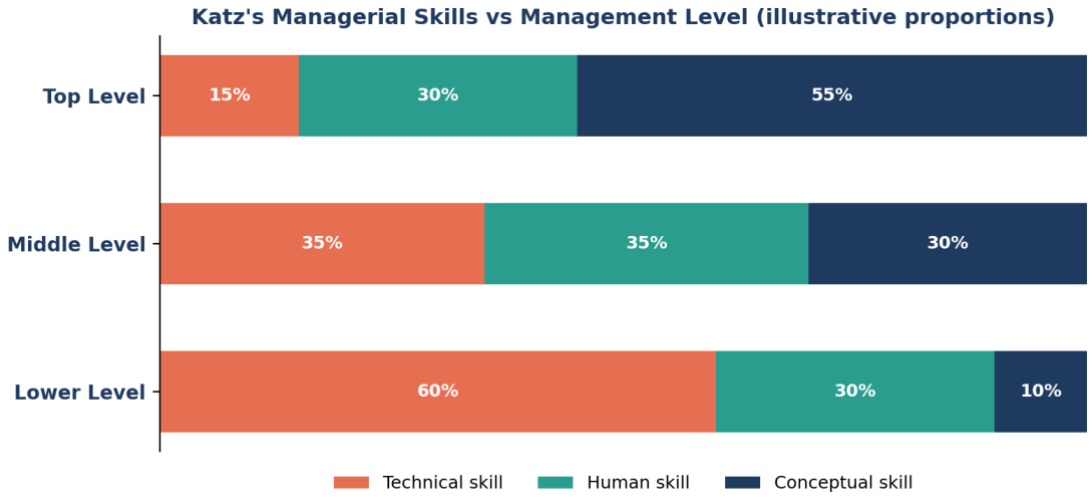


Fig. 4: Skills needed at different levels of management

- **Top level** needs mostly **conceptual** skill.
- **Middle level** needs a balanced mix of all three.
- **Lower level** needs mostly **technical** skill.
- **Human skill** is equally important at **every level**, because managers always deal with people.

EXTRA POINT

- Some books add **Design skill** (solving problems creatively) and **Communication skill** (Griffin). Mention them as additional skills for extra marks.

10. EVOLUTION OF MANAGEMENT THOUGHT

Management practice is old (Egyptian pyramids, Chinese and Indian administration), but **management as a systematic study** began with the Industrial Revolution.

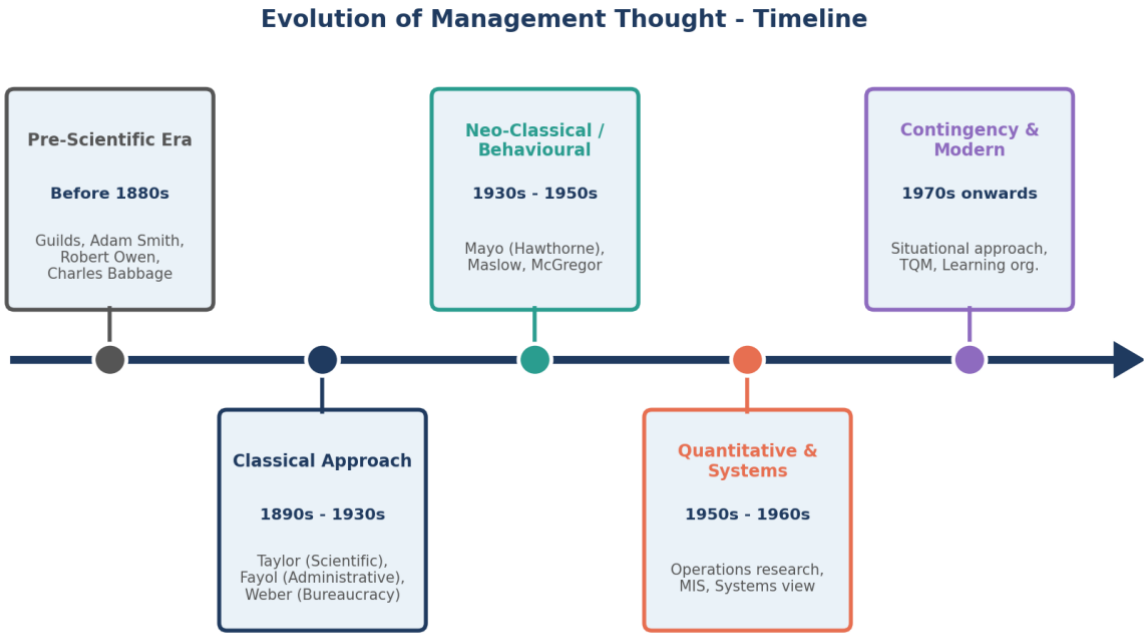


Fig. 5: Evolution of Management Thought

A. Pre-Scientific / Early Management

- **Adam Smith (1776):** advocated **division of labour** in *The Wealth of Nations*.
- **Robert Owen:** stressed good working conditions and welfare of workers; called the **father of personnel management**.
- **Charles Babbage:** studied efficiency, division of labour, and the use of machines.

B. Classical Approach (1890s - 1930s)

Focus: **efficiency of work and organization structure**. It has three branches.

1. Scientific Management: F. W. Taylor (Father of Scientific Management)

Focus on **worker-level efficiency**; replaced rule-of-thumb with scientific methods.

- **Principles:**
  - Science, not rule of thumb
  - Harmony in group action, not discord
  - Cooperation, not individualism
  - Maximum output, not restricted output
  - Development of each worker to his/her greatest efficiency and prosperity
- **Techniques:**
  - **Time study** (standard time for a job), **Motion study** (removing useless movements), **Fatigue study** (rest intervals)
  - **Standardization** of tools, materials and methods
  - **Differential piece-rate system** (higher rate for efficient workers)
  - **Functional foremanship** (eight specialised foremen instead of one boss)
  - **Scientific selection and training**, and **mental revolution** (cooperation between workers and management)

- **Criticism:** treats workers like machines, ignores human and social needs, leads to monotony, opposed by trade unions, and breaks the unity of command (functional foremanship).

2. Administrative Theory: Henri Fayol (Father of Modern Management)

- Focus on **top-level management** and the **overall organization**.
- Divided industrial activities into six groups: **Technical, Commercial, Financial, Security, Accounting, Managerial**.
- Identified five functions (planning, organizing, commanding, coordinating, controlling) and gave **14 principles** (see Section 11).

3. Bureaucratic Theory: Max Weber

Weber proposed the **ideal bureaucracy**, an organization run on rules and rational authority. Its features are:

- **Hierarchy** of authority (clear chain of command)
- **Division of labour** and specialisation
- **Formal rules and procedures**, written records
- **Impersonality**: decisions based on rules, not emotions or favouritism
- **Merit-based** selection and promotion; **career-oriented** employment

C. Neo-Classical / Behavioural Approach (1930s - 1950s)

Reaction to the classical view: stresses **human beings, social needs and group behaviour**.

- **Human Relations Movement: Elton Mayo. Hawthorne Experiments** (1924-32, Western Electric Company, Chicago): illumination, relay assembly test room, mass interview programme and bank wiring observation room.
- **Conclusions:** social needs and group norms influence productivity; attention and recognition motivate workers; informal groups exist; supervision style matters.
- **Behavioural Science:** Maslow (hierarchy of needs), McGregor (Theory X and Y), Herzberg (two-factor theory), Likert.

D. Quantitative / Management Science Approach (1950s)

- Uses **mathematical models, statistics and computers** for decision making.
- Tools: **Operations research, linear programming, simulation, PERT/CPM**.
- Strength: precise, objective decisions. Weakness: ignores human behaviour, hard for complex problems.

E. Systems Approach

- Views an organization as an **open system** of **interrelated parts** (subsystems) interacting with the **environment**.
- Cycle: **Inputs (resources) → Transformation process → Outputs (goods/services) → Feedback**.
- Key idea: a change in one part affects the whole organization.

F. Contingency (Situational) Approach

- **No single best way** to manage; the right method **depends on the situation**.
- Managers must analyse factors such as technology, environment, people and size before acting.
- Contributors: Fiedler, Lawrence and Lorsch, Joan Woodward.

G. Modern Approaches

- **Total Quality Management (TQM)**, **learning organization**, **re-engineering**, **knowledge management**, **globalization** and **digital management**.

Comparison: Taylor vs Fayol

Basis	F. W. Taylor	Henri Fayol
Known as	Father of Scientific Management	Father of Modern (Administrative) Management
Focus	Shop-floor, worker efficiency	Top management, whole organization
Approach	Bottom-up, specialist view	Top-down, general management view
Basis	Experiments, observation	Personal experience as an executive
Principles	4 principles + techniques	14 principles of management
Unity of command	Violated (functional foremanship)	Strongly supported
Book	The Principles of Scientific Management (1911)	General and Industrial Management (1916)

11. FAYOL'S FOURTEEN PRINCIPLES OF MANAGEMENT

Henri Fayol, a French mining engineer, gave these principles in his book **General and Industrial Management (1916)**. Principles are **flexible guidelines**, not rigid laws; they can be changed according to the situation.

No.	Principle	Meaning and example
1	**Division of Work**	Work is divided into small tasks so each person specialises; this increases efficiency. E.g. separate staff for cutting, stitching and packing.
2	**Authority and Responsibility**	Authority is the right to give orders; responsibility is the obligation to perform. Both should be **equal**.
3	**Discipline**	Obedience, respect for rules and agreements; needs good superiors and fair penalties.
4	**Unity of Command**	Each employee should receive orders from **only one boss**, to avoid confusion.
5	**Unity of Direction**	One head and one plan for a group of activities having the **same objective**.
6	**Subordination of Individual Interest to General Interest**	Organization's interest comes before personal interest.
7	**Remuneration**	Pay should be **fair** to both employees and employer and should reward good work.
8	**Centralization and Decentralization**	Degree of concentration or spread of decision-making power; the balance depends on the size and nature of the firm.
9	**Scalar Chain**	Line of authority from top to bottom; communication should follow it (see Fig. 6).
10	**Order**	**A place for everything and everything in its place**: right person and right material at the right place and time.
11	**Equity**	Kindness plus justice; fair and equal treatment of all employees.
12	**Stability of Tenure**	Avoid unnecessary turnover; job security improves commitment.
13	**Initiative**	Freedom to think out and carry out a plan; encourages employees' zeal.
14	**Esprit de Corps**	**Union is strength**: team spirit, harmony and unity; avoid 'divide and rule'.

Scalar Chain and Gang Plank

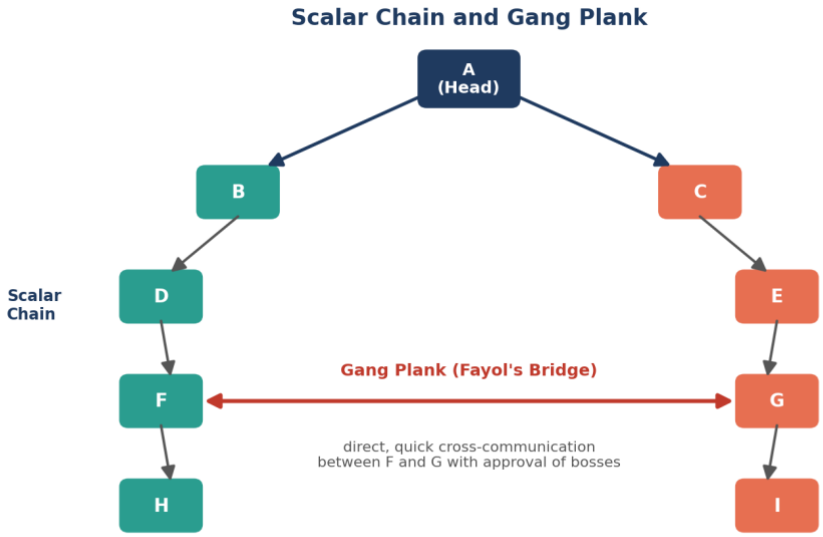


Fig. 6: Scalar Chain with Fayol's Gang Plank

- In the **scalar chain**, a message from F to G would travel up F → D → B → A → C → E → G, which is **slow**.
- **Gang plank** (Fayol's bridge) allows **F and G to contact directly**, with the **knowledge of their superiors**.
- It keeps the chain of command intact but **saves time** in emergencies.

12. QUICK REVISION AND IMPORTANT QUESTIONS

One-line revision

Topic	Remember
Management	Getting things done through people, efficiently and effectively
Functions	Planning, Organizing, Staffing, Directing, Controlling (+ Coordination)
Levels	Top (strategy), Middle (tactics), First-line (operations)
Mintzberg	10 roles: 3 interpersonal, 3 informational, 4 decisional
Katz	Technical, Human, Conceptual
Taylor	Scientific Management; time, motion and fatigue study
Fayol	14 principles; 6 activities; gang plank
Weber	Bureaucracy: rules, hierarchy, impersonality
Mayo	Hawthorne experiments; human relations

Likely exam questions

1. Define management. Explain its nature and characteristics.
2. Is management a science or an art? Discuss.
3. Explain the functions of management.
4. Describe the levels of management with a diagram.
5. What are Mintzberg's managerial roles? Explain with examples.

6. Explain Katz's managerial skills and their importance at different levels.
7. Explain the evolution of management thought.
8. Explain Taylor's scientific management: principles, techniques and criticism.
9. Explain Fayol's 14 principles of management.
10. Differentiate between Taylor and Fayol.
11. Short notes: Efficiency vs effectiveness; Hawthorne experiments; Scalar chain; Bureaucracy.

All the best for your exams!